

capital or income, which in the opinion of the Charity Commissioners may properly be made applicable for that purpose.

6.—(1) Nothing in this Act shall be construed as Savings. limiting or restricting the exercise by the committee of management of any power which apart from this Act they would have been entitled to exercise.

(2) The powers conferred on the Charity Commissioners by this Act shall be in addition to and not in derogation of any other powers exercisable by them.

(3) Except to the extent of an application of funds authorised under subsection (2) of section three of this Act, an Order shall not be construed as authorising any application of funds.

7.—(1) This Act may be cited as the Voluntary Short title Hospitals (Paying Patients) Act, 1936. and extent.

(2) This Act shall not apply to Scotland or to Northern Ireland.

CHAPTER 18.

An Act to provide for the establishment of a Sugar Commission; for the amalgamation into a single corporation of companies manufacturing sugar from home-grown beet; for granting financial assistance to that corporation and to the companies aforesaid; and otherwise for the reorganization of the sugar industry.

[21st May 1936.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

Establishment of the Sugar Commission.

1.—(1) There shall be constituted a commission to be called “the Sugar Commission” (hereinafter referred to as “the Commission”) who shall be charged with the Constitution of Sugar Commission.

duties of keeping under review the growing of sugar beet, and the manufacture, refining, marketing, and consumption of sugar in the United Kingdom, and of advising and assisting the Minister and the Treasury in such matters relating to the sugar industry as he or they may require of them, and of exercising such other functions as are imposed upon them by or under this Act or by any agreement approved thereunder by the Minister.

(2) The Commission shall consist of a chairman and not more than four other commissioners appointed by the Minister with the consent of the Treasury, and, subject to the provisions of this section, each of the commissioners shall hold and vacate office in accordance with the terms of the instrument appointing him.

(3) No member of the Commission shall be capable of being elected to or of sitting in the House of Commons.

(4) No person shall be appointed to be a commissioner if, within the last five years before the appointment is made, he has been engaged in carrying on the business of manufacturing or refining sugar, or been a director, officer, or servant of any undertaking carrying on either of those businesses.

(5) A commissioner shall within three months after his appointment sell or dispose of any interest or securities which he may hold in his own name, or in the name of a nominee, for his own benefit in any undertaking carrying on the business of growing sugar beet or sugar cane or of manufacturing or refining sugar; and it shall not be lawful for a commissioner while he holds office to acquire for his own benefit any interest or securities in any such undertaking, and if a commissioner, under any will or succession or otherwise becomes entitled for his own benefit to any interest or securities in any such undertaking, he shall sell or dispose of it or them within three months after he has so become entitled thereto :

Provided that, if a commissioner satisfies the Minister that any interest in any such undertaking as aforesaid which the commissioner holds, or proposes to acquire, or to which he has become entitled, is so remote or otherwise of such a nature that the holding thereof will not affect him in the exercise of his functions

as a commissioner, the Minister may direct in writing that he be excused from compliance with the provisions of this subsection as respects that interest.

(6) If a commissioner becomes disqualified for holding office or, without being so excused as aforesaid, fails to comply with the provisions of the last foregoing subsection, the Minister shall forthwith declare his office to be vacant and shall notify the fact in such manner as he thinks fit and thereupon the office shall become vacant.

2.—(1) The Minister may appoint a secretary to the Commission, and the Commission may appoint such other officers and such servants as the Minister may, with the consent of the Treasury, determine; and the Commission from time to time may employ such technical and professional agents, and may constitute such advisory committees, as they consider necessary or desirable for the discharge of their functions under this Act. Staff,
expenses,
and pro-
cedure, of
Commis-
sion.

(2) There shall be paid to the commissioners and to the officers and servants of the Commission such salaries and allowances, and to any agents employed by the Commission such remuneration, and to the members of any advisory committee constituted by the Commission such travelling or other allowances, as the Minister may, with the consent of the Treasury, determine.

(3) The expenses of the Commission, to such an amount as may be approved by the Treasury (including salaries, allowances, and remuneration payable under the last foregoing subsection), shall be paid by the Minister as part of his expenses under this Act.

(4) Every document purporting to be an instrument issued by the Commission and to be signed by the secretary or any person authorised to act in that behalf, shall be received in evidence and be deemed to be such an instrument without further proof, unless the contrary is shown.

(5) The Commission shall, subject to any rules made under this Act, have power to regulate their own procedure (including the determination of the number necessary to form a quorum) and may act notwithstanding a vacancy in their number:

Provided that the procedure of the Commission shall be such as to secure due consideration of any representations made to the Commission by persons appearing to them to represent interests concerned in

the growing of sugar beet, or the manufacture, refining, marketing, or consumption of sugar, in the United Kingdom, or in other matters relating to the sugar industry.

(6) The Commission may hold such inquiries as they consider necessary or desirable for the discharge of their functions under this Act; and if the Minister is satisfied that for the purposes of an inquiry into any definite matter it is necessary so to do, he may by order, specifying the matter to be inquired into, direct that in respect of any meeting of the Commission at which not less than three of the commissioners are present for the purpose of inquiring into that matter, the Tribunals of Inquiry (Evidence) Act, 1921, shall apply to the Commission as if they were a tribunal established in manner provided by that Act and as if that Act had been applied to them in the manner thereby provided :

11 & 12
Geo. 5. c. 7.

Provided that—

(a) that Act in its application to the Commission shall have effect as if for paragraph (a) of section two thereof there were substituted the following paragraph—

“(a) may refuse to allow the public or any portion of the public to be present at any of the proceedings of the Commission only if in the opinion of the Commission it is necessary so to do for reasons connected with the subject matter of the inquiry or the nature of the evidence to be given :”

(b) any order made under this subsection shall be laid before Parliament as soon as may be after it is made and if either House within the next subsequent twenty-eight days on which that House has sat after any such order is laid before it resolves that the order “be annulled it shall forthwith be void, but without prejudice to anything previously done thereunder or to the making of a new order.

Reorganization of British Sugar Industry.

Amalgama-
tion of
existing
factories
into British

3.—(1) The companies specified in the first column of Part I of the First Schedule to this Act (hereinafter referred to as “the transferor companies”) shall, in accordance with arrangements approved by the Minister

with the consent of the Treasury, be amalgamated into a company limited by shares and registered under the Companies Act, 1929, to be formed, with the like approval and consent, for that purpose, by the name of the British Sugar Corporation Limited (hereinafter referred to as "the Corporation"), and, in accordance with such arrangements, the undertakings carried on by the transferor companies at the factories specified in the second column of the said Part of the said Schedule, and such property and liabilities of those companies as may be provided for by the arrangements shall be transferred to the Corporation.

Sugar Corporation Limited.
19 & 20
Geo. 5. c. 23.

(2) If at the expiration of one month after the passing of this Act the transferor companies have not been so amalgamated and the said undertakings, property and liabilities so transferred as aforesaid by agreement, the Minister shall, unless he is satisfied that the amalgamation and transfer will be completed with all reasonable dispatch, require the Commission to make and submit to him schemes for the amalgamation and transfer thereof, and any such scheme when confirmed by an order of the Minister made with the consent of the Treasury, shall come into force on such date as may be specified in the order. The provisions set out in Part II of the First Schedule to this Act shall have effect with respect to the preparation, contents, making, confirmation and effect of any such scheme.

(3) No arrangements or scheme shall be approved or confirmed under this section unless the arrangements or scheme make such provision as appears to the Minister and the Treasury to be expedient for securing that the affairs of the Corporation will be conducted with due regard to the public interest and to the efficient manufacture in Great Britain of sugar from home-grown beet and to the efficient marketing of such sugar; and after such approval or confirmation as aforesaid neither the memorandum nor articles of association of the Corporation shall be altered without the approval of the Minister given with the consent of the Treasury.

(4) Any action taken for the purposes of, or in connection with, the transfer to the Corporation of the undertaking, or of any property or liabilities, of a transferor company, in pursuance of arrangements approved or of a scheme confirmed under this section, shall be

deemed to be within the powers of the company, and no such action shall give rise to a right on the part of the holders of any debentures or other securities of a transferor company, or of any persons on their behalf, to enforce the security.

(5) Where by any arrangements approved or scheme confirmed under this section provision is made for the substitution of any securities of the Corporation for securities of a transferor company, any trustee or other person acting in a fiduciary capacity who at the date of the formation of the Corporation held and was entitled to hold any securities of the transferor company shall be entitled to hold the securities of the Corporation which may be substituted therefor.

Power of
Treasury
to guarantee
deben-
tures of
Corporation.

4.—(1) If the Treasury are satisfied that any debentures proposed to be issued by the Corporation are to be issued for the purpose of providing working capital for the Corporation, the Treasury may guarantee in such manner and on such conditions as they think fit the payment of the principal of and the interest on the debentures so issued :

Provided that the amount of the principal of the debentures to be so guaranteed shall not in the aggregate exceed an amount sufficient to raise one million pounds.

(2) Any sums required by the Treasury for fulfilling any guarantee given under this Act shall be charged on and issued out of the Consolidated Fund of the United Kingdom or the growing produce thereof, and any sums received by way of repayment of any sums so issued shall be paid into the Exchequer.

(3) As soon as may be after any guarantee is given under this Act, the Treasury shall lay a statement of the guarantee before both Houses of Parliament.

(4) If any sum is issued under this Act out of the Consolidated Fund of the United Kingdom or the growing produce thereof, the Treasury shall, as soon as may be after the end of the financial year in which the first sum is so issued, lay before both Houses of Parliament an account of all sums at any time so issued and of all sums at any time received by way of repayment of any sums so issued, and a similar account shall be laid in like manner in every subsequent year unless it is shown by the account laid in the preceding year that all sums so issued have been repaid.

5.—(1) Subject to the provisions of this section it shall be the duty of the Corporation to enter into contracts for the purchase by the Corporation of home-grown beet upon such terms and conditions as may be determined by an agreement made, after consultation with the Commission, between the Corporation and a Sugar Beet Marketing Board, or, where there is no such board, any body which in the opinion of the Commission is substantially representative of the growers of home-grown beet or, where there is no such agreement, upon such terms and conditions as may be determined by an order made by the Commission :

Functions of Corporation as to purchase of home-grown beet.

Provided that, with a view to securing that the quantity of sugar manufactured by the Corporation in Great Britain from home-grown beet received by it in every year will be, as nearly as may be, the standard quantity, the Commission shall for every year determine the acreage of land in respect of the produce of which such contracts as aforesaid may be entered into by the Corporation for delivery in that year, and the Corporation shall not enter into such contracts in respect of beet grown for delivery in that year on more than that acreage.

(2) With a view to securing* that the acreage in respect of which such contracts as aforesaid may be entered into by the Corporation for delivery in any year is not exceeded, provision for the determination from time to time of the quantity of home-grown beet that may be acquired from any person by the Corporation shall be made with the approval of the Commission; and such provision as aforesaid shall be made either by a scheme under the Agricultural Marketing Acts, 1931 to 1933, limiting the quantity of home-grown beet that may be sold by any person to the Corporation, or by arrangements made by the Corporation limiting the quantity of home-grown beet that may be purchased by the Corporation from any person.

(3) Any contracts for the purchase by the Corporation of home-grown beet entered into as respects the year beginning on the first day of April, nineteen hundred and thirty-six—

- (a) shall comply with the provisions as to prices contained in the Second Schedule to this Act; and

- (b) if entered into upon terms and conditions determined in a manner approved, whether before or after the passing of this Act, by the Minister, shall be deemed to have been entered into in accordance with the provisions of this section and shall have effect as if they had been entered into in accordance with determinations made by or with the approval of the Commission.

Functions of Corporation as to production and marketing of white sugar.

6.—(1) It shall be the duty of the Corporation to submit to the Commission not less than one month before the end of every year proposals in a form approved by the Commission showing the arrangements proposed as to the production and marketing by the Corporation of white sugar during the year next following, and the Commission shall by order approve the arrangements with such modifications, if any, as the Commission, after consultation with the Corporation consider necessary in the public interest.

(2) Any order of the Commission approving such arrangements as aforesaid for any year, may at any time during the year be varied by any subsequent order made by them after consultation with, or upon representations made by, the Corporation.

Registration of refiners of sugar.

7.—(1) It shall be the duty of the Commission to keep a register of refiners of sugar and to enter therein the name and address of every refiner of sugar.

(2) If, after compliance with the provisions of this section as to notice and the hearing of objections, the Commission are satisfied that any refiner of sugar is not registered under this section they shall enter his name and address in the register.

(3) If, after compliance with the provisions of this section as to notice and the hearing of objections, the Commission are satisfied that any person registered under this section has ceased to be a refiner of sugar, they shall remove his name and address from the register.

(4) If as a result of representations made to the Commission it appears to them—

- (a) that any person being a refiner of sugar is not registered under this section; or
- (b) that any person registered under this section has ceased to be a refiner of sugar;

the Commission shall (except where the representations were made by that person) serve on him a notice of their intention to enter his name and address in the register, or to remove his name and address therefrom, as the case may be, unless within such period as may be specified in the notice (not being less than fourteen days nor more than twenty-eight days after service thereof) notice of his objection is served on the Commission, and if any such notice of objection is duly served on the Commission, they shall, before deciding the matter, give the objector an opportunity of being heard.

(5) If any person makes application to the Commission, for the entry of his name and address in the register, or for the removal thereof from the register upon the ground that he has ceased to be a refiner of sugar, the Commission shall, before deciding the matter, give him an opportunity of being heard.

(6) The Commission shall serve notice of every decision made by them under this section upon the person affected by the decision, and if any such person is aggrieved by a decision of the Commission, he may, within such time after service upon him of notice thereof as may be limited by rules of court, appeal to the High Court and the decision of that Court shall be final.

(7) The register kept under this section shall be open for inspection at the office of the Commission during office hours and any person shall be entitled on payment of a fee of one shilling to be supplied with a certificate issued by the Commission and signed by the secretary of the Commission or by any other officer of the Commission duly authorised to act in that behalf, certifying that the person named therein is or is not a registered refiner, and, in the case of a person who is or was a registered refiner, specifying the date on which he became or ceased to be registered and any such certificate shall be evidence of the facts therein stated.

8.—(1) As soon as may be after the completion of an agreement made between the Corporation and any other refiners of sugar providing for the matters set out in the Third Schedule to this Act, it shall be the duty of the Corporation to submit the agreement to the Minister for his approval, and the agreement when approved by an order of the Minister made after consultation with the Commission and with the consent of the Treasury

Sugar
Refining
Agreement.

shall have effect notwithstanding any rule of law relating to agreements in restraint of trade.

(2) After the expiration of three months from the date of the passing of this Act, no such agreement as aforesaid shall be of any effect unless it has been approved by such an order as aforesaid.

(3) Any Order made under this section shall be laid before Parliament as soon as may be after it is made, together with a copy of the agreement thereby approved.

Schemes as
to Sugar
Refining
Agreements.

9.—(1) As soon as may be after any Sugar Refining Agreement has been approved under the last foregoing section, the Commission shall after consultation with all registered refiners make and submit to the Minister a scheme providing for the assessment of contributions to be made by all registered refiners other than the Corporation, whether parties to the agreement or not, in such manner as to apportion between them the liability to make (whether before or after the coming into force of the scheme) all or any of the payments to be made to the Corporation under the agreement, and providing for the payment of such contributions to the Corporation in satisfaction of sums payable under the agreement.

(2) The Commission may, after consultation with all registered refiners, at any time make and submit to the Minister a scheme apportioning among registered refiners or any of them, whether parties to the agreement or not, any liability, other than that mentioned in the last foregoing subsection, arising under any Sugar Refining Agreement, and any such scheme shall provide for the reference of disputes arising in connection therewith to one or more arbitrators appointed in such manner as may be provided by the scheme.

Financial Provisions.

Assistance
to British
Sugar Cor-
poration.

10.—(1) Subject to the provisions of this Act, and to the satisfaction of such requirements as to proof and otherwise as may be prescribed by rules made under this Act, there shall, out of moneys provided by Parliament, be paid to the Corporation in respect of every hundredweight of sugar manufactured by the Corporation in Great Britain on and after the first day of

September, nineteen hundred and thirty-six, from home-grown beet, assistance at the effective rates for the time being in force under this Act :

Provided that assistance shall not be paid under this Act in respect of a greater quantity of sugar manufactured from home-grown beet received by the Corporation in any year than the standard quantity; and if a greater quantity of sugar is manufactured by the Corporation in Great Britain from home-grown beet received by the Corporation in any year, assistance shall be paid in respect of the earliest sugar so manufactured.

(2) The amount of the assistance payable to the Corporation shall be calculated in respect of the amount of sugar manufactured by the Corporation from home-grown beet received by it in each year, but payments on account calculated in accordance with rules made under this Act in respect of the sugar so manufactured in each week shall be made from time to time.

11.—(1) Assistance shall not be payable under the last foregoing section in respect of any sugar unless it is shown to the satisfaction of the Minister—

Conditions
for receipt
of assist-
ance.

- (a) that the price paid or agreed to be paid by the Corporation for the beet from which the sugar was manufactured was not less than such minimum price as may have been provided as respects that beet by the contracts entered into in accordance with the provisions of subsection (1) of section five of this Act;
- (b) that the arrangements approved by the Commission under this Act with respect to the production and marketing of white sugar by the Corporation are complied with;
- (c) that no equipment, machinery, plant, material or other article not wholly manufactured in the United Kingdom, has, in contravention of any order of the Commission made under this section, been installed or used in the factory in which the sugar was manufactured.

(2) For the purposes of paragraph (c) of the last foregoing subsection, the Commission may, by order, prohibit the installation or use without their consent of all or any class or description of equipment, machinery, plant, material or other article not wholly manufactured in the United Kingdom, and any such order may be

revoked or varied by any subsequent order made by the Commission.

Duty of
Corporation
as to
reserves.

12.—(1) The Corporation shall comply with any directions given by the Minister with the consent of the Treasury as to the placing to reserves, kept for the purpose of providing pensions for persons employed by the Corporation, or of meeting contingencies, or of equalising dividends, of such portion of the profits earned by the Corporation in any year as may be specified in the directions, and shall in accordance with directions given in like manner, in any year in which assistance is paid under this Act, place to a depreciation reserve, kept for the purpose of meeting the cost of the renewal of premises, equipment, machinery, and plant, of the Corporation, an amount not less than that determined by order of the Minister made after consultation with the Commission and with the consent of the Treasury.

(2) Where directions given by the Minister under this section require the investment of any sums placed to reserve, the Corporation shall comply with any requirements specified in the directions as to the manner in which such sums are to be invested.

Power of
Minister to
withhold
assistance.

13. If it appears to the Minister, after consultation with the Commission, that the Corporation has contravened any provisions of this Act or of any rules made thereunder, he may withhold payment of any assistance payable to the Corporation until he is satisfied that the provision has been complied with, or, where compliance with the provision will not make good any default or deficiency arising by reason of the contravention, that the default or deficiency has been or will be made good as far as possible.

Calculation
of effective
rates of
assistance.

14.—(1) For the purpose of enabling the effective rate of assistance in force in respect of sugar of any polarisation to be calculated in accordance with the provisions of this section, the Minister shall annually, after consultation with the Commission and with the consent of the Treasury, by order prescribe for every year a rate per hundredweight (hereinafter referred to as "the prescribed rate") in respect of white sugar, and that rate shall be determined upon the basis that the standard conditions specified in paragraph two of the Fourth Schedule to this Act will exist throughout the year:

Provided that the prescribed rate for the year beginning on the first day of April, nineteen hundred and thirty-six, shall be five shillings and threepence.

(2) The standard rate of assistance in respect of sugar manufactured in any year shall in the case of white sugar, and, unless the order prescribing the prescribed rate for the year otherwise directs, in the case of sugar of a polarisation exceeding ninety-eight degrees but not exceeding ninety-nine degrees, be the prescribed rate; and the standard rate of assistance in the case of sugar of any lower polarisation shall be a rate per hundred-weight bearing the appropriate proportion to the prescribed rate.

(3) The effective rate of assistance in force under this Act in respect of sugar of any polarisation shall be the standard rate in the case of that sugar adjusted in respect of variations from the said standard conditions in accordance with the provisions of paragraph three of the Fourth Schedule to this Act.

(4) With a view to encouraging the Corporation to effect all practicable economies and to attain the highest practicable standard of efficiency in the business carried on by it the Minister may, after consultation with the Commission, and with the consent of the Treasury, enter into agreements with the Corporation for securing that, during such period as may be specified in any such agreement, the prescribed rates will be calculated in accordance with the provisions of the agreement so as to permit such proportion of the saving in the cost of assistance attributable to economies effected, and improved standards of efficiency attained, by the Corporation as may be determined by the agreement to enure for the benefit of the Corporation :

Provided that as soon as may be after making any such agreement the Minister shall lay a copy thereof before Parliament and if either House of Parliament within the next subsequent twenty-eight days on which that House has sat after the copy has been laid before it resolves that the agreement be annulled, the agreement shall forthwith be void, but without prejudice to the making of any new agreement.

(5) The following provisions shall have effect with respect to orders made under this section determining the prescribed rate for any year:—

- (a) the prescribed rate shall, subject to the provisions of any agreement made under the last foregoing subsection, be determined as if, having regard to the time that has elapsed since the amalgamation of the transferor companies into the Corporation, all practicable economies resulting from that amalgamation had been effected and as if the highest practicable standard of efficiency in the business carried on by the Corporation had been attained;
- (b) the prescribed rate shall, subject to the provisions of any agreement made under the last foregoing subsection, be such as will, in the opinion of the Treasury, be sufficient to encourage the Corporation to continue to effect all practicable economies and attain the highest practicable standard of efficiency in the business carried on by it, and shall be such as will, in the opinion of the Treasury, be sufficient to enable the Corporation (after complying with the directions of the Minister as to reserves and making such provision, if any, as may be necessary for any other matter approved by the Treasury) to earn profits equivalent to such rates of interest as the Treasury consider reasonable, having regard to the circumstances existing when the order is made;
- (c) every such order shall specify the minimum sum to be placed by the Corporation to a depreciation reserve in accordance with the provisions of this Act;
- (d) every such order shall specify an estimate of the average raw sugar price and of the maximum quota income for the year;
- (e) if, during the year, a Sugar Refining Agreement or any provision thereof ceases to be in force, or any alteration is made in the terms thereof, the order may be revoked by a subsequent order of the Minister made after consultation with the Commission and with the consent of the Treasury, and such a

subsequent order may determine the prescribed rate for the remainder of the year;

- (f) every such order shall be laid before Parliament as soon as may be after it is made and shall come into operation on such date as may be specified in the order.

15.—(1) If by reason of poverty of the crop of home-grown beet in any year due to adverse farming conditions the quantity of white sugar equal to the quantity of sugar manufactured by the Corporation in Great Britain from such beet received by it in that year falls short of the standard quantity, then, subject to the satisfaction of such requirements as to proof and otherwise as may be prescribed by rules made under this Act, there shall, out of moneys provided by Parliament, be made to the Corporation a supplementary payment of an amount calculated in accordance with the provisions of the Fifth Schedule to this Act.

Supplementary payments in respect of poor crops.

(2) The amount of the supplementary payment received by the Corporation in respect of any year shall be apportioned by the Corporation with the approval of the Commission among the growers of home-grown beet with whom contracts have been entered into for that year in accordance with the provisions of section five of this Act, in proportion to the sums payable in pursuance of those contracts to each of those persons, and the sum so apportioned to any person shall be recoverable by him from the Corporation summarily as a civil debt.

16.—(1) Subject to the satisfaction of such requirements as to proof and otherwise as may be prescribed by rules made under this Act, there shall, out of moneys provided by Parliament, be paid in respect of sugar manufactured during the period between the thirty-first day of August nineteen hundred and thirty-five and the first day of September nineteen hundred and thirty-six, in respect of which subsidy is payable under the British Sugar (Subsidy) Acts, 1925 to 1935, the allowances following, that is to say:—

Allowances in respect of sugar manufactured during the period between 31st August, 1935 and 1st Sept., 1936.

- (a) to the Corporation, an allowance of two hundred and forty thousand pounds, in respect of depreciation during that period of the premises,

equipment, machinery and plant of the factories transferred to the Corporation under this Act; and

(b) to the transferor companies, allowances not exceeding in the aggregate three hundred and fifteen thousand pounds, in respect of interest on capital.

(2) The Corporation shall place to a depreciation reserve, kept for the purpose of meeting the cost of renewal of the premises, equipment, machinery, and plant of the Corporation, an amount equal to the allowance paid to the Corporation under this section.

(3) The aggregate amount of the allowances to be paid under this section to the transferor companies in respect of such sugar as aforesaid shall be distributed among the several companies in such proportions as may be determined by agreement between them with the approval of the Minister or, in default of such agreement, by the Minister; and the sum payable to each company shall be paid after arrangements have been approved, or a scheme confirmed, under this Act, for the amalgamation of the transferor companies into the Corporation.

Duty of
Commission
to report as
to rates of
excise duty
on sugar
produced
from home-
grown beet.

17.—(1) It shall be the duty of the Commission to consider and report to the Treasury, not later than the thirty-first day of March nineteen hundred and forty-one, whether it is expedient in the public interest that any change should be made in the difference between the rates of excise duty respectively chargeable on white sugar and on sugar of a polarisation exceeding ninety-eight degrees but not exceeding ninety-nine degrees in the case of sugar manufactured from home-grown beet, and if they consider that any such change is expedient their report shall contain a specific recommendation as to the change which, in their opinion, should be made.

(2) In exercising their functions under this section, the Commission shall have regard to the need for avoiding undue dislocation in the sugar industry and in particular in the part of it concerned with the manufacturing, refining and marketing of sugar.

*Additional Functions of Sugar Commission as to
Reorganization of Sugar Industry.*

18.—(1) As soon as may be after the passing of this Act the Commission shall, after consultation with the Sugar Beet Marketing Board (or, where there is no such Board, with any body which in the opinion of the Commission is substantially representative of the growers of home-grown beet), and with the Corporation, and with all other registered refiners, make and submit to the Minister and to a Secretary of State a scheme making provision for the encouragement, promotion, and conduct, of research and education in all or any of the following matters, that is to say, matters affecting the growing of home-grown beet, or the manufacturing, refining, marketing, or consumption of sugar.

Schemes as to research and education.

(2) A scheme made under this section shall, in particular, provide—

- (a) for the submission to the Minister, and to the Department of Agriculture for Scotland, at least once in each year of a programme for the carrying out of such research and education as aforesaid, and of an estimate of the amount of the expenditure to be incurred in carrying out the programme;
- (b) for the amount required to defray such estimated expenditure as aforesaid being apportioned by the Commission as between the growers of home-grown beet, the Corporation, and all other registered refiners, having regard to the extent to which, in the opinion of the Commission, the programme relates to their respective interests;
- (c) for the assessment of the contributions to be made by every grower of home-grown beet, by the Corporation, and by every other registered refiner, towards the payment of the amount of such expenditure as aforesaid and for the collection of such contributions:

Provided that the contributions to be made towards the amount of such expenditure as aforesaid in any year shall not exceed a sum equal—

- (i) in the case of any grower of home-grown beet, to one penny for every ton of home-grown beet

sold by him for delivery to the Corporation in that year;

(ii) in the case of the Corporation, to sixpence for every quantity of sugar manufactured or refined by the Corporation in that year equal to one ton of white sugar;

(iii) in the case of any other registered refiner, to sixpence for every quantity of sugar refined by him in that year equal to one ton of white sugar.

(3) All contributions paid in accordance with the requirements of a scheme made under this section shall be paid into a research and education fund which shall be under the control of the Commission, and all expenditure certified by the Minister and by the Department of Agriculture for Scotland to have been properly incurred in carrying out any programme approved by the Minister and the said Department under such a scheme (including any expenditure incurred by the Commission or by or on behalf of the Minister, the Secretary of State, or the Department of Agriculture for Scotland) shall be defrayed out of that fund.

(4) As soon as may be after the end of each year the Commission shall cause an account in a form approved by the Minister and the Department of Agriculture for Scotland to be prepared and submitted to the Minister and to the Secretary of State showing the revenue and expenditure of the research and education fund attributable to that year, and that account shall, not later than the thirtieth day of November in the year following that to which it relates, be transmitted to the Comptroller and Auditor General, who shall examine and certify the accounts and lay copies thereof together with his report thereon before Parliament.

(5) In relation to any scheme not extending to Scotland this section shall have effect as if references to the Secretary of State and to the Department of Agriculture for Scotland were omitted therefrom.

Schemes as
to licensing
of registered
refiners.

19.—(1) If at any time the Commission are satisfied that, with a view to the prevention of inefficient or uneconomical refining and marketing of sugar, it is expedient in the public interest (due regard being had to the interests of consumers) that control should be exercised as to the establishments at which the business

of refiners of sugar may be carried on, the Commission may, with the concurrence of the Minister given after consultation with the Board of Trade, make and submit to him a scheme (hereinafter referred to as a "licensing scheme") requiring that no person shall carry on business as a refiner of sugar—

- (a) at any premises in the United Kingdom unless there is in force in respect of those premises a licence (hereinafter referred to as a "refiner's licence") authorising the carrying on of that business at those premises, granted by a licensing authority constituted by the scheme consisting of persons appointed by the Minister ;
or
 - (b) otherwise than in accordance with any conditions attached to the licence under powers conferred by the scheme.
- (2) Any licensing scheme shall provide—
- (a) for securing that no person shall be appointed to be a member of the licensing authority unless the Minister, after consultation with the Commission, is satisfied that he has no such interest in any undertaking carrying on the business of manufacturing or refining sugar as to affect him in the exercise of his functions as such a member ;
 - (b) for the expenses of the licensing authority (including any fees, salaries or allowances payable to the members thereof) being defrayed as part of the expenses of the Commission under the scheme ;
 - (c) that the grant of a refiner's licence in respect of any premises at which the business of a refiner of sugar was being carried on at any time within six months before the date on which the scheme was submitted to the Minister shall not be refused before the expiration of such period as may be specified in the scheme, not being less than twelve months nor more than twenty-four months from the date on which the scheme comes into force ;

- (d) that the grant of a refiner's licence in respect of any premises shall not be refused except on such grounds as may be specified in the scheme;
- (e) for empowering the licensing authority to attach to the grant, renewal, or transfer, of a licence such conditions only as, having regard to any directions given by the Commission, the licensing authority think necessary for promoting the efficient or economical refining or marketing of sugar, and to revoke the licence in the event of any contravention of such conditions;
- (f) for securing that a refiner of sugar, or a person desirous of carrying on in the United Kingdom the business of a refiner of sugar, who is aggrieved by any act or omission of the licensing authority may appeal to the Commission;
- (g) for empowering the licensing authority, or on appeal the Commission, to direct the payment of compensation in respect of loss suffered by any person in consequence of any refusal to renew or transfer a licence or in consequence of any conditions attached to such a renewal or transfer, for the assessment of the amount of any such compensation by one or more arbitrators appointed in such manner as may be provided by the scheme, and for the payment of any such compensation as part of the expenses incurred by the Commission under the scheme;
- (h) for all expenses incurred by the Commission under or in connection with the scheme being defrayed by means of contributions to be made by refiners of sugar, and for the assessment and collection of such contributions;
- (i) for exempting from all or any of the provisions of the scheme such classes or descriptions of refiners of sugar, if any, or refiners of sugar of such classes or descriptions, if any, as may be specified in the scheme or determined by the Commission;

- (j) for empowering any person authorised in writing by the Commission in that behalf, on production of his authority, to enter and inspect at any reasonable time any premises specified in the authority, being premises which the Commission have reason to believe to be used for carrying on the business of a refiner of sugar.

Supplementary Provisions as to Schemes.

20.—(1) Any scheme made under this Act making provision as to the assessment of contributions to be made thereunder by any person, shall make provision—

General provisions as to schemes.

- (a) for securing that any person who is aggrieved by the assessment of his contribution may refer the matter to one or more arbitrators appointed in such manner as may be provided by the scheme; and
- (b) for the recovery of such contributions from persons by whom they are payable summarily as a civil debt but without prejudice to any other remedy for the recovery thereof.

(2) Any scheme made under this Act may make provision for requiring any person to whom the scheme applies to keep such records and to furnish to the Commission, or to any officer of the Commission duly authorised to require them, such estimates, returns, accounts and other information as the Commission consider necessary for the operation of the scheme, and may make provision for such further matters as they consider necessary for giving effect to, or enforcing, the provisions of the scheme or to be incidental to, or consequential on, the provisions thereof.

(3) The provisions of the Arbitration Acts, 1889 to 1934, shall not apply to any arbitration under any scheme made under this Act except in so far as they may be applied by the scheme, or by rules made under this Act.

(4) Any scheme made under this Act may be amended by a subsequent scheme made, submitted and approved or confirmed, in like manner as the original scheme, and the provisions of this Act as to schemes shall apply accordingly to any such amending scheme, except that an amending scheme need not contain provisions other

than those necessary for amending any former scheme, so, however, that the provisions of this Act relating to the matters which must be contained in any scheme shall apply to the original scheme as amended by any subsequent scheme.

(5) Any person who contravenes any provision of, or having effect under, a scheme in force under this Act, not being a provision for the levying of contributions, shall, if the scheme provides that a contravention of that provision is to be deemed to be an offence, be guilty of an offence under this Act and shall be liable on summary conviction to a fine of such amount as may be specified in the scheme in relation to that offence, not being greater, in the case of a first offence than one hundred pounds, and, in the case of a second or subsequent offence, than five hundred pounds.

This subsection shall have effect in addition to, and not in derogation of, any provision which may be made by a scheme for the enforcement, otherwise than by way of fine, of any provision of, or having effect under, a scheme in force under this Act, not being a provision for the levying of contributions.

(6) Nothing in this section applies to any scheme made under section three of this Act.

Provisions
as to the
making,
approval,
and revoca-
tion, of
licensing
schemes.

21.—(1) The following provisions shall have effect in the case of any licensing scheme—

- (a) after preparing the scheme the Commission shall send a copy thereof to every registered refiner and shall consider any objections or representations with respect thereto made by any registered refiner within twenty-eight days, or such further time as the Commission may allow, after the copy of the scheme was sent to him, and if modifications in the scheme are made by the Commission with a view to meeting any such objections or representations, the Commission shall give notice of the modifications to all registered refiners;
- (b) before submitting to the Minister the scheme made by them, the Commission shall cause to be given, in such manner as the Minister may direct, public notice that they have made the scheme, and every such notice shall specify

the place where the scheme may be inspected and copies thereof obtained, and the price (being a price approved by the Minister) at which such copies will be supplied and of the time (not being less than twenty-eight days after publication of the notice) within which written objections and representations with respect to the scheme may be sent to the Minister;

- (c) when submitting the scheme to the Minister, the Commission shall transmit to him any objection or representation with respect to the scheme made to them which has not been withdrawn;
- (d) when the scheme has been submitted to the Minister, he shall consider any objections and representations with respect thereto duly made or transmitted to him, and may, after holding such inquiries (if any) as he thinks fit, make such modifications in the scheme as he thinks proper :

Provided that—

- (i) where an objection has been duly made with respect to the scheme by any person appearing to the Minister to be affected thereby and has not been withdrawn, the Minister unless he considers the objection to be frivolous or unless the scheme has been modified as required by the objection shall, before taking any further action with respect to the scheme, direct a public inquiry to be held in accordance with rules made under this Act and consider the report of the person who held the inquiry; and
 - (ii) if modifications in the scheme are made by the Minister, he shall require the Commission to give to every registered refiner notice of the modifications made;
- (e) unless, after the foregoing provisions of this section have been complied with, both of the necessary majorities of registered refiners notify the Minister that they assent to the scheme, as modified by any modifications made therein, the Minister shall take no further action with respect to the scheme;

(f) subject to the foregoing provisions of this section, if the Minister is satisfied, after consultation with the Board of Trade, that the scheme is in the public interest and will conduce to the greater efficiency of the sugar refining industry and that the scheme makes due provision for the interests of consumers, he may lay before Parliament a draft of the scheme, and if each House resolves that the scheme be approved, the Minister shall make an order approving the scheme in terms of the draft and the scheme shall come into force on such date as may be specified in the order.

(2) If at any time both of the necessary majorities of registered refiners notify the Minister that they desire that the scheme shall be revoked, the Minister shall, unless after consultation with the Board of Trade he is satisfied that it would not be in the public interest so to do, by order revoke the scheme and the scheme shall cease to be in force as from such date as may be specified in the order.

(3) For the purposes of paragraph (e) of subsection (1) of this section and for the purposes of the last foregoing subsection the necessary majorities of registered refiners are—

(a) the registered refiners who, in the opinion of the Minister, are capable of producing more than one-half of the quantity of refined sugar that all the registered refiners are capable of producing;

(b) more than one-half of the number of registered refiners.

(4) If at any time it appears to the Minister to be expedient so to do, he may require the Commission to give, in such manner as he may direct, public notice of his intention to consider the revocation of any licensing scheme in force, and every such notice shall specify the time within which written objections and representations with respect to the revocation of the scheme may be sent to the Minister, and if, after considering any such objections and representations duly made to him and after holding such inquiries (if any) as he thinks fit, and after consultation with the Board of Trade and with the Commission, the Minister is satisfied that any provision of the scheme or any act or omission of the licensing

authority constituted thereunder is contrary to the interest of consumers or to the interest of a substantial number of persons affected by the scheme and is not in the public interest, he shall lay before Parliament a draft of an order revoking the scheme, and if each House resolves that the order be approved the Minister shall make an order revoking the scheme in terms of the draft and the scheme shall cease to be in force on such date as may be specified in the order.

(5) The revocation of any licensing scheme shall be without prejudice to the making and approval of any subsequent licensing scheme under this Act.

22.—(1) The following provisions shall have effect in the case of any scheme made under this Act, not being a scheme made under section three thereof or a licensing scheme—

Provisions
as to the
making and
confirma-
tion of
schemes
other than
licensing
schemes.

- (a) before submitting to the Minister the scheme made by them, the Commission shall send copies thereof to all persons and bodies that they were required by this Act to consult before the scheme was made, and shall consider any objections or representations with respect thereto made by any such person or body within fourteen days, or such further time as the Commission may allow, after the copy of the scheme was sent to that person or body, and when submitting the scheme to the Minister the Commission shall transmit to him any such objection or representation which has not been withdrawn;
- (b) when the scheme has been submitted to the Minister, he shall consider any objections and representations with respect thereto duly transmitted to him and may, after holding such inquiries (if any) as he thinks fit, make such modifications in the scheme as he thinks proper :

Provided that, if modifications in the scheme are made by the Minister, he shall require the Commission to give to every person and body to whom or to which a copy of the scheme was required by the foregoing provisions of this section to be sent, notice of the modifications made and shall consider any objections or

representations with respect thereto made to him within such time as may be specified in the notice;

- c) after the foregoing provisions of this section have been complied with, the Minister may by order confirm the scheme and, when so confirmed, the scheme shall come into force on such date as may be specified in the order;
- (d) as soon as may be after making an order confirming the scheme, the Minister shall lay the scheme and the order before Parliament, and if either House of Parliament within the next subsequent twenty-eight days on which that House has sat after the order has been laid before it resolves that the order be annulled the order shall forthwith be void but without prejudice to the validity of anything previously done thereunder or to the making and confirmation of a new scheme.

(2) In relation to any scheme as to research and education extending to Scotland as well as to England and Wales, references in this section to the Minister shall be construed as including references to the Secretary of State.

Wages and Conditions of Employment.

Wages and
conditions
of employ-
ment of
persons
employed.

23.—(1) The wages paid by the Corporation to persons employed by it in connection with the manufacture of sugar in respect of which assistance is payable under this Act or by any person carrying on business as a refiner of sugar under a refiner's licence to persons employed by him in connection with that business and the conditions of employment of persons so employed shall, unless agreed upon by the employer and by organisations representative of the persons employed or by a joint industrial council representing them, not be less favourable to the persons employed than the wages which would be payable and the conditions which would have to be observed under a contract which complied with the requirements of any resolution of the House of Commons for the time being in force applicable to contracts of Government departments, and if any dispute arises as to what wages ought to be paid or what conditions ought to be observed in accordance with this section

it shall, if not otherwise disposed of, be referred by the Minister to the industrial court for settlement.

(2) Where any matter is referred to the industrial court under this section, the court, in arriving at its decision, shall have regard to any determination that may be brought to its notice relating to the wages or conditions of service of persons employed in a capacity similar to that of the persons to whom the reference relates, being a determination contained in a decision of a joint industrial council, conciliation board, or other similar body, or in an agreement between organisations representative of employers and workpeople.

(3) Where any award has been made by the industrial court upon a dispute referred to that court under this section, then, as from the date of the award or from such later date as the court may direct, it shall be an implied term of the contract between the employer and workers to whom the award applies that the rate of wages to be paid or the conditions of employment to be observed under the contract shall, until varied in accordance with the provisions of this section, be in accordance with the award.

Miscellaneous and General.

24.—(1) All claims for payment of assistance, supplementary payments, or allowances, shall be made to, and determined by, the Minister in accordance with rules made under this Act, and any decision of the Minister given with respect to, or in connection with, any such claim, shall be final and conclusive.

Claims for payment, and repayment of amounts improperly obtained.

(2) The power of the Commissioners of Customs and Excise to make regulations under paragraph (4) of Part III of the Second Schedule to the Finance Act, 1928, shall include power to make regulations with a view to verifying claims for assistance, supplementary payments and allowances; and accordingly in that paragraph for the words "or subsidy" there shall be inserted the words "subsidy, assistance, supplementary payments, or allowances."

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Geo. 5. c. 17.

(3) If it is found at any time that any person has obtained any payment by way of assistance, supplementary payment, apportionment of supplementary payment, or allowance, to which or to part of which

he was not lawfully entitled, the amount of that payment or of that part of the payment may, without prejudice to the recovery thereof as a debt due to the Crown, and without prejudice to the criminal liability, if any, of any person, be recovered by the Minister summarily as a civil debt.

Penalties
for false
statements.

25.—(1) If for the purpose of obtaining any payment by way of assistance, supplementary payment, apportionment of supplementary payment, or allowance, either for himself or for any other person any person knowingly or recklessly makes any untrue statement or untrue representation, he shall be guilty of an offence under this Act and shall, in respect of each offence, be liable on summary conviction to a fine not exceeding fifty pounds or to imprisonment for a term not exceeding three months or to both such fine and imprisonment.

(2) If proceedings for an offence under this section are instituted by the Commissioners of Customs and Excise the fine for the offence shall be deemed to be an excise penalty, and shall be recoverable accordingly.

Duty of
Corporation
and of
registered
refiners
to furnish
information
to Com-
mission.

26.—(1) It shall be the duty of the Corporation at such times as may be directed by the Commission, to furnish to the Commission, and to any accountant appointed by them with the approval of the Treasury such estimates, returns, accounts and other information relating to the business of the Corporation as the Commission may require, and any expenses incurred by the Commission in connection with the obtaining of any such estimates, returns, accounts or information as aforesaid shall be defrayed by the Corporation.

(2) Any officer of, or accountant or other technical or professional agent appointed by, the Commission duly authorised in writing by the Commission in that behalf may, on production of his authority, enter at all reasonable times any premises of the Corporation and inspect and take copies of any accounts, books, or other documents, for the purpose of obtaining information required by the Commission, and if any person obstructs any such officer, accountant, or agent in the exercise of his powers under this subsection or refuses to produce any accounts, books or other documents under his control which he is required to produce by any such officer, accountant, or agent, he shall be guilty of an offence under

this Act and shall be liable on summary conviction to a fine not exceeding fifty pounds.

(3) It shall be the duty of every registered refiner to furnish to the Commission, at such times as may be directed by them, such information with respect to sales and purchases of sugar by that refiner as the Commission may require for the purpose of assisting the Commission in the discharge of their functions under this Act; and if any registered refiner makes default in furnishing any such information as aforesaid, he shall be guilty of an offence under this Act and shall be liable on summary conviction to a fine not exceeding fifty pounds.

27. Where an offence under this Act committed by a body corporate is proved to have been committed with the consent or approval of, or to have been facilitated by any neglect on the part of, any director, manager, secretary or other officer of the body corporate, he, as well as the body corporate, shall be deemed to be guilty of the offence and shall be liable to be proceeded against and punished accordingly. Offences by bodies corporate.

28. It shall be the duty of the Commission to submit to the Minister as soon as may be after the end of every year a report on the discharge of their functions under this Act during that year, and the report shall contain such accounts of the Corporation (including a balance sheet and a profit and loss account) as may be prescribed by rules made under this Act, and all such reports and accounts shall be laid before Parliament. Annual report.

29. The Minister may, with the consent of the Treasury, make rules for any matter with respect to which rules are required by the provisions of this Act, and for such consequential or supplementary matters as may be necessary for the purposes of this Act, and in particular such rules may make provision as to— Power to make rules.

- (a) the costs of any inquiry held under this Act and as to the persons by whom any expenses of the Minister in connection with such an inquiry are to be defrayed;
- (b) the form in which any estimates, returns, accounts or other information are to be furnished to the Commission or to the Minister.

Expenses
of Minister
and pay-
ments into
Exchequer.

30.—(1) Any expenses incurred by the Minister under this Act, except any expenses for which other provision is made by this Act or by any scheme or rules made thereunder shall be defrayed out of moneys provided by Parliament...

(2) All sums received by the Commission in the discharge of their functions under this Act, except any sums as to which other provision is made by this Act or by any scheme made thereunder, shall be paid into the Exchequer.

Application
to Scotland.

31. This Act shall, in its application to Scotland, have effect subject to the following modifications, that is to say—

- (a) references to the High Court shall be construed as references to the Court of Session;
- (b) section fifteen shall have effect as if the word “summarily” in subsection (2) thereof were omitted therefrom;
- (c) in relation to any scheme as to research and education extending only to Scotland, section eighteen shall be construed as if references to the Minister were omitted therefrom, and section twenty-two shall be construed as if for references therein to the Minister there were substituted references to the Secretary of State;
- (d) in its application to any scheme, in so far as the scheme extends to Scotland, section twenty shall have effect as if the word “summarily” in subsection (1) thereof were omitted therefrom;
- (e) section twenty-four shall have effect as if the word “summarily” in subsection (3) thereof, were omitted therefrom;
- (f) section twenty-five shall have effect as if subsection (2) thereof were omitted therefrom.

Interpre-
tation.

32.—(1) In this Act, unless the contrary intention appears, the following expressions have the meanings hereby respectively assigned to them, that is to say :—

“Appropriate proportion” means, in relation to the rates of assistance payable in respect of sugar of any degree of polarisation, the proportion which the figure specified in respect of sugar of that

polarisation in the last column of the table set out in the Sixth Schedule to this Act (or of such other table as may be substituted therefor in accordance with the provisions hereinafter contained in this section) bears to one hundred;

“Contravention” in relation to any provision includes a failure to comply with that provision, and “contravene” shall be construed accordingly;

“Home-grown beet” means sugar beet grown in Great Britain;

“Liabilities” includes duties;

“Manufacture,” in relation to sugar, means the making of sugar of any polarisation from sugar beet or sugar cane; and the expression “manufactured” shall be construed accordingly;

“Maximum quota income” means, in relation to any year, the income which in pursuance of the Sugar Refining Agreement, and of any scheme apportioning the liability thereunder, the Corporation would receive in the year if the Corporation were to sell to other refiners of sugar the whole of its allocation of quotas under the Agreement;

“Minister” means the Minister of Agriculture and Fisheries;

“Polarisation” means the polarisation indicated by sugar when tested by a polariscope;

“Property” includes property, rights and powers of every description;

“Raw sugar price” and “average raw sugar price” mean respectively the raw sugar price, and the average raw sugar price, determined in accordance with the provisions hereinafter contained in this section;

“Refiner of sugar” means a person who carries on in the United Kingdom the business of refining sugar and of selling the refined sugar otherwise than as a constituent part of any other product

manufactured by him in the premises in which the sugar was refined;

“Registered refiner” means a person whose name and address are for the time being entered in the register of refiners of sugar kept under this Act;

“Securities” includes stocks and shares, and “debentures” includes debenture stock;

“Standard quantity” means a quantity equal to five hundred and sixty thousand tons of white sugar;

“Sugar Beet Marketing Board” means a board administering a scheme under the Agricultural Marketing Acts, 1931 to 1933, regulating the marketing of sugar beet;

“Sugar Refining Agreement” means an agreement providing for the matters set out in the Third Schedule to this Act made between the Corporation and other refiners of sugar and approved by order of the Minister made after consultation with the Commission and with the consent of the Treasury, and includes any such agreement;

“White sugar” means sugar of a polarisation exceeding ninety-nine degrees;

“Year” means a period beginning on the first day of April and ending with the thirty-first day of March next following.

(2) For the purposes of this Act, the quantity of sugar which is equal to any given quantity of white sugar shall be calculated upon the assumption that one hundred hundredweights of sugar of any polarisation mentioned in the first column of the table set out in the Sixth Schedule to this Act (or of such other table as may be substituted therefor in accordance with the provisions hereinafter contained in this section) is equal to the quantity of white sugar mentioned in the second column of that table in respect of sugar of that polarisation.

(3) If at any time the quantities of sugar of different polarisations which are equal to a given quantity of white sugar are determined for the purposes

of the charge of excise duties or of customs duties in accordance with a scale other than that set out in the table contained in the Sixth Schedule to this Act, the Minister may, by order made after consultation with the Commission and with the consent of the Treasury, direct that this Act shall have effect as if for the table set out in the said Sixth Schedule there were substituted such other table (being, as respects sugar of any polarisation not exceeding ninety-eight degrees, a table corresponding with the scale in accordance with which such duties are determined) as may be specified in the order, and upon the coming into force of any such order this Act shall have effect accordingly.

(4) For the purposes of this Act the sugar content of beet shall be ascertained by means of the cold water digestion method.

(5) No calculation made for determining rates of assistance for the purposes of this Act shall be carried further than one place of decimals of a penny.

(6) The Commission, after consultation with an advisory committee constituted by them consisting of representatives of both buyers and sellers of sugar, shall from time to time determine, in accordance with rules made under this Act, a daily raw sugar price per hundred-weight, and, subject to such provisions as may be contained in the rules, the raw sugar price for any day shall be so determined by reference to the prices at which raw sugar on which the full rate of customs duty is chargeable could have been bought on that day; and the average raw sugar price for any period shall be the aggregate of the prices so determined as aforesaid for days in that period divided by the number of days in the period, being days for which such a price was so determined.

33.—(1) This Act may be cited as the Sugar Industry (Reorganization) Act, 1936. Short title
and extent.

(2) Save as therein expressed to extend to the United Kingdom this Act shall not extend to Northern Ireland.

SCHEDULES.

Section 3.

FIRST SCHEDULE.

AMALGAMATION OF COMPANIES MANUFACTURING SUGAR FROM HOME-GROWN BEET.

PART I.

LIST OF COMPANIES AND FACTORIES TO BE AMALGAMATED.

<i>Name of Company.</i>	<i>Name of Factory.</i>
English Beet Sugar Corporation, Ltd. - - - -	Cantley, Norfolk.
Home Grown Sugar, Ltd. -	Kelham, Nottinghamshire.
Ely Beet Sugar Factory, Ltd.	Ely, Cambridgeshire.
Ipswich Beet Sugar Factory, Ltd. - - - -	Ipswich, Suffolk.
King's Lynn Beet Sugar Factory, Ltd. - - - -	King's Lynn, Norfolk.
Anglo-Scottish Beet Sugar Corporation, Ltd. - -	{ Colwick, Nottinghamshire. Spalding, Lincolnshire. Poppleton, Yorkshire. Felstead, Essex. Cupar, Fifeshire.
Second Anglo-Scottish Beet Sugar Corporation, Ltd. -	
West Midland Sugar Co., Ltd.	
United Sugar Co., Ltd. -	
Central Sugar Co., Ltd. -	Kidderminster, Worcestershire.
Yorkshire Sugar Co., Ltd. -	Bury St. Edmunds, Suffolk.
Shropshire Beet Sugar Co., Ltd. - - - -	Peterborough, Northamptonshire.
Lincolnshire Sugar Co., Ltd. -	Selby, Yorkshire.
Second Lincolnshire Sugar Co., Ltd. - - - -	Allscott, Shropshire.
British Sugar Manufacturers, Ltd. - - - -	Bardney, Lincolnshire.
	Brigg, Lincolnshire.
	Wissington, Norfolk.

PART II.

PROVISIONS AS TO SCHEMES FOR AMALGAMATION IN DEFAULT OF AGREEMENT.

1. Any scheme prepared by the Commission under section three of this Act may contain such provisions as may be necessary or expedient for giving effect to the purposes of the scheme,

and in particular, but without prejudice to the generality of the foregoing provision may provide for all or any of the following matters, that is to say,—

1ST SCH.
—cont.

- (a) for the formation and registration of the Corporation under the Companies Act, 1929, and as to the membership, capital, control, and management thereof;
- (b) for vesting in the Corporation such property and liabilities of the transferor companies as may be provided for by the scheme; and for disposing of, or otherwise dealing with, any property or liabilities not so vested;
- (c) for the consideration to be given to the several transferor companies and generally as to the terms and conditions of the transfer, and for that consideration consisting in whole or in part of securities of the Corporation;
- (d) for the winding up of the transferor companies and for the holder of securities of any transferor company receiving on the winding up of that company, in substitution therefor and in satisfaction of all claims arising thereunder, such securities of the Corporation and of such amounts as may be specified in the scheme;
- (e) for any of the matters for which provision is made in Part V of the Railways Clauses Act, 1863;

26 & 27 Vict.
c. 92.

and any such scheme may make such incidental, consequential and supplementary provisions as appear necessary or expedient.

2. The Commission may give such directions as they think fit as to the publication of advertisements of any such scheme, the giving of notices and the holding of meetings of companies affected, and of any classes of shareholders and debenture-holders of any such companies, and before any such scheme is made the Commission shall take into consideration all objections to the scheme prepared which may have been made by any person or by any class or body of persons within such time and in such manner as may have been directed by the Commission, and where any objections have been so made shall hear any objectors whom they consider entitled to appear.

3. The Commission after hearing such objectors as aforesaid (if any) with reference to any scheme may make the scheme and submit it to the Minister who may with the consent of the Treasury confirm the scheme either without modification or subject to such modifications as the Minister and the Treasury think fit:

Provided that—

- (a) before submitting to the Minister a scheme made by them the Commission shall furnish a copy thereof to each of the transferor companies and to any objector whom they consider to be affected;

1ST SCH.
—cont.

- (b) when submitting any such scheme to the Minister the Commission shall transmit to him any objection with respect thereto made to them which has not been withdrawn; and
- (c) before modifications are made in a scheme submitted by the Commission to the Minister the Minister shall give to the Commission, to each of the transferor companies, to any objector whose objection has been transmitted to him and to such other persons, if any, as he thinks proper, notice of the modifications proposed to be made and shall take into consideration any representations made to him with respect thereto within such time as may be specified in the notice.

4. No scheme shall provide for the allocation to any person of securities subjecting the holder thereof to any liability for calls in excess of the liability (if any) to which he was subject as the holder of the securities for which the allocated securities are to be substituted.

5. Any scheme making provision as to the allocation of the securities or other assets of the Corporation as between the transferor companies or as between classes of the shareholders and debenture-holders of any of those companies shall provide that if any of those companies or any shareholder or debenture-holder of any of those companies considers that the allocation is inequitable, the transferor company, shareholder or debenture-holder (as the case may be), may, within such period (not being less than two months from the date on which the scheme comes into force) as may be specified in the scheme, appeal to the High Court; and upon any such appeal the Court may make such alteration in the provisions of the scheme relating to the allocation of the securities or other assets of the Corporation between the transferor companies or between such classes as aforesaid, as to the Court may seem just, and the order of the Court shall have effect notwithstanding the provisions of this Act as to the coming into force of the scheme when confirmed by the Minister with the consent of the Treasury, but without prejudice to the validity and operation on and after the date of such confirmation of any other provisions of the scheme.

6. There shall be paid to the Minister by the Corporation a sum equal to such amount as may be certified by the Minister to be the amount of the expenses incurred, whether before or after the passing of this Act by him and by any other Government Department and by the Commission in connection with the preparation, making or confirmation of any scheme made under section three of this Act or in connection with any proceedings relating to such a scheme.

SECOND SCHEDULE.

Section 5.

MINIMUM PRICES OF HOME-GROWN BEET RECEIVED BY THE CORPORATION IN THE YEAR BEGINNING ON 1ST APRIL 1936.

1. Subject as hereinafter provided the minimum prices of home-grown beet received by the Corporation in the year beginning on the first day of April, nineteen hundred and thirty-six, shall be—

Price per ton.

- (a) in the case of beet properly loaded with not more than fifteen per cent. tare into railway trucks at the growers' nearest railway station consigned to the factory situated at Cupar - - - 34s.
- (b) in the case of beet delivered into the factory sidings or flumes at the factory situated at Bardney, Bury St. Edmunds, Cantley, Colwick, Ely, Felstead, Ipswich, Kelham, King's Lynn, Peterborough, Spalding, or Wislington - - 35s.
- (c) in the case of beet delivered into the factory sidings or flumes at the factory situated at Allscott, Brigg, Kidderminster, Poppleton, or Selby - - 36s.

Provided that, if the quantity of white sugar equal to the quantity of sugar manufactured from home-grown beet received by the Corporation in the said year is greater than the standard quantity, the minimum prices aforesaid may be reduced by such amounts as may be provided by the contracts entered into in accordance with the provisions of subsection (1) of section five of this Act.

2. For the purposes of this Schedule—

- (i) the expression "price" means the price payable as in respect of beet properly topped and washed, having a sugar content of fifteen and one-half per cent.;
- (ii) where the sugar content of any beet is greater or less than fifteen and one-half per cent. there shall be made an addition to or deduction from the minimum price at the rate of threepence in respect of each 0·1 per cent. above or below fifteen and one-half, as the case may be.

Sections 8,
 32.

THIRD SCHEDULE.

MATTERS TO BE PROVIDED FOR IN A SUGAR REFINING AGREEMENT.

1. The purchase by refiners of sugar other than the Corporation of raw sugar manufactured by the Corporation from home-grown beet.
2. The allocation of quotas to the Corporation and other refiners of sugar and the apportionment of sales of sugar between the Corporation and other refiners by reference to quotas.
3. The purchase by refiners of sugar other than the Corporation of quotas which the Corporation desires to sell, being quotas allocated to the Corporation under the Agreement.
4. The modification by the Commission after consultation with the Minister and with the consent of the Treasury of any of the provisions of the Agreement at the request of the parties thereto.

Section 14.

FOURTH SCHEDULE.

STANDARD BASIS OF PRESCRIBED RATES AND ADJUSTMENTS IN RESPECT OF VARIATIONS THEREFROM.

Definitions.

1. For the purposes of this Schedule the following expressions have the meanings hereby respectively assigned to them, that is to say:—

“Duty advantage” means, subject as hereinafter provided, the amount by which the excise duty chargeable in respect of a hundredweight of sugar of any polarisation wholly manufactured from home-grown beet is less than the full rate of customs duty chargeable in respect of a hundredweight of imported foreign sugar of that polarisation, so, however, that the duty advantage

shall be computed as if the full rate of customs duty chargeable on foreign sugar were, in the case of sugar of a polarisation exceeding ninety-eight degrees but not exceeding ninety-nine degrees a rate of eight shillings and ninepence and six-tenths of a penny per hundredweight, and, in the case of sugar of a polarisation exceeding ninety-nine degrees a rate of nine shillings and fourpence per hundredweight :

4TH SCH.
—cont.

Provided that, if before the making of any order determining the prescribed rate for any year any change in the rates of excise duty or of customs duty respectively chargeable on sugar has been made since the determination of the prescribed rate then in operation, the Minister may by order made with the consent of the Treasury make such modifications in the foregoing definition as may be necessary to correspond with the change ;

“Appropriate percentage” means such percentage as may be determined in accordance with rules made under this Act, so, however, that the percentage for any year shall be determined by reference to the effect which variations in the factors that under the Sugar Refining Agreement determine the maximum quota income, would have had on the total income of the Corporation, if the Corporation had in that year sold the maximum amount of white sugar consistent with the terms of that agreement.

Standard Conditions.

2. The standard conditions upon the basis of which the prescribed rate for every year is to be determined are the following conditions, that is to say :—

- (a) that the duty advantage in respect of sugar of any polarisation will be of the same amount as that which exists when the prescribed rate is determined ;
- (b) that the average raw sugar price for each week in the year will in the case of the year beginning on the first day of April nineteen hundred and thirty-six be four shillings and sixpence, and in the case of any subsequent year be a price equal to the estimate thereof specified in the order determining the prescribed rate for the year ;
- (c) that the quantity of sugar manufactured by the Corporation in Great Britain from home-grown beet received by it in the year will be the standard quantity ;

4TH SCH.
—cont.

- (d) that the maximum quota income for the year will be of an amount equal to the estimate thereof specified in the order determining the prescribed rate for that year.

Adjustments in prescribed rates in respect of variations from the standard conditions.

3. In determining the effective rates of assistance in force under this Act the following adjustments shall be made in respect of variations from the standard conditions :—

- (i) If in any week in which sugar is manufactured from home-grown beet the amount of the duty advantage in respect of sugar of any polarisation exceeds or falls short of the amount of that advantage when the prescribed rate in operation was determined, the effective rate of assistance payable in respect of sugar of that polarisation so manufactured in that week shall be calculated as if the standard rate in the case of sugar of that polarisation had been decreased or increased by one-tenth of a penny for each complete tenth of a penny by which the duty advantage exceeds or falls short of the duty advantage when the prescribed rate was determined :
- (ii) If in any week in which sugar is manufactured from home-grown beet the average raw sugar price for that week exceeds or falls short of the estimated rate specified in the order determining the prescribed rate for the year, the effective rates of assistance payable in respect of sugar so manufactured in that week shall be calculated as if the prescribed rate had been decreased or increased by one-tenth of a penny for each complete one-tenth of a penny by which the said average price exceeds or falls short of the said estimated rate :
- (iii) If the quantity of white sugar equal to the quantity of sugar manufactured by the Corporation in Great Britain from home-grown beet received by it in any year falls short of the standard quantity by seven and one-half per cent. or more, the total amount of assistance payable in respect of sugar manufactured from home-grown beet received by it in that year shall be calculated—
 - (a) where the quantity has fallen short by less than fifteen per cent., as if the prescribed rate had been increased by one penny ;
 - (b) where the quantity has fallen short by fifteen per cent. or more, as if the prescribed rate had been increased by twopence :

- (iv) If the maximum quota income for any year exceeds or falls short of the estimate thereof specified in the order determining the prescribed rate for that year, there shall be deducted from or added to the total amount of assistance payable in respect of sugar manufactured from home-grown beet received by the Corporation in that year, an amount which, subject as hereinafter provided, shall be equal to the appropriate percentage of the difference between the maximum quota income and the said estimate :

4TH SCH.
—cont.

Provided that, if in respect of any year the Treasury after consultation with the Commission are satisfied that the addition of an amount equal to the said appropriate percentage would be insufficient to enable the Corporation to earn profits equivalent to such rates of interest as the Treasury consider reasonable having regard to the circumstances existing when the adjustment under this paragraph is to be made, then, the amount to be added to the total amount of assistance aforesaid shall be such as the Minister may with the consent of the Treasury think fit not exceeding the amount by which the total income of the Corporation has been diminished by reason of the variations by reference to the effect of which the appropriate percentage was determined.

FIFTH SCHEDULE.

Section 15.

CALCULATION OF SUPPLEMENTARY PAYMENTS.

The amount of the supplementary payment payable in respect of poverty of the crop of home-grown beet in any year shall be calculated in the manner following, that is to say,—

- (a) there shall be ascertained the quantity of white sugar equal to the quantity of sugar manufactured by the Corporation in Great Britain from home-grown beet received by it in the year ;
- (b) there shall be deducted from or added to the amount of assistance payable in respect of the quantity of sugar so manufactured as aforesaid, an amount equal to that by which the assistance was increased or decreased in accordance with the provisions of sub-paragraphs (iii) and (iv) of paragraph 3 of the Fourth Schedule to this Act and there shall be calculated the rate per hundred-weight of white sugar obtained by dividing the sum so

5TH SCH.
—cont.

ascertained by an amount equal to the quantity ascertained under paragraph (a) of this Schedule;

- (c) there shall be ascertained the additional sum which would have been payable to the Corporation if assistance at the rate calculated under the last foregoing paragraph had been payable on an additional quantity of sugar equal to the difference between the quantity ascertained under paragraph (a) of this Schedule and the standard quantity;

and, subject as hereinafter provided, the amount of the supplementary payment shall be such as the Minister, after consultation with the Commission, considers equitable, having regard to the extent to which the crop has been affected by adverse farming conditions, not exceeding a sum equal to one-half of the amount ascertained under paragraph (c) of this Schedule:

Provided that the amount of the supplementary payment in respect of any year shall not exceed a maximum equal to one shilling for every ton of home-grown beet received by the Corporation in that year under the contracts entered into in accordance with the provisions of section five of this Act; so, however, that for the purposes of calculating that maximum in relation to beet of which the sugar content is greater or less than fifteen and one-half per cent, the said sum of one shilling shall be subject to an addition or deduction of such amount as the Minister, having regard to the contracts aforesaid, may determine after consultation with the Commission.

Section 32.

SIXTH SCHEDULE.

TABLE FOR DETERMINING EQUAL QUANTITIES OF SUGAR OF DIFFERENT POLARISATIONS, AND FOR DETERMINING THE APPROPRIATE PROPORTION IN RELATION TO RATES OF ASSISTANCE.

Sugar of a polarisation exceeding—							Cwt.
99 degrees	-	-	-	-	-	-	100·0
98	„	but not exceeding	99 degrees	-	-	-	94·3
97	„	„	98	„	-	-	92·0
96	„	„	97	„	-	-	89·6
95	„	„	96	„	-	-	87·2
94	„	„	95	„	-	-	84·8
93	„	„	94	„	-	-	82·4
92	„	„	93	„	-	-	80·0

Sugar of a polarisation exceeding—						Cwt.	6TH SCH. —cont.
91 degrees but not exceeding 92 degrees	-	-	-	-	-	77.6	
90 " " " 91 "	-	-	-	-	-	75.2	
89 " " " 90 "	-	-	-	-	-	72.8	
88 " " " 89 "	-	-	-	-	-	70.4	
87 " " " 88 "	-	-	-	-	-	68.4	
86 " " " 87 "	-	-	-	-	-	66.4	
85 " " " 86 "	-	-	-	-	-	64.6	
84 " " " 85 "	-	-	-	-	-	62.8	
83 " " " 84 "	-	-	-	-	-	61.0	
82 " " " 83 "	-	-	-	-	-	59.2	
81 " " " 82 "	-	-	-	-	-	57.6	
80 " " " 81 "	-	-	-	-	-	56.0	
79 " " " 80 "	-	-	-	-	-	54.4	
78 " " " 79 "	-	-	-	-	-	52.8	
77 " " " 78 "	-	-	-	-	-	51.2	
76 " " " 77 "	-	-	-	-	-	49.6	

CHAPTER 19.

An Act to authorise the Treasury to make an agreement with a company to be incorporated by the name of the Special Areas Reconstruction Association Limited and to make payments to the company in accordance with that agreement; and for purposes connected with the matters aforesaid. [29th May 1936.]

WHEREAS it is intended that a company should be incorporated under the Companies Act, 1929, by the name of the Special Areas Reconstruction Association Limited (hereinafter referred to as "the company") with the object (among other objects) of providing as a temporary and special expedient a means of affording financial facilities to persons setting up or carrying on business in the areas specified in the First Schedule to the Special Areas (Development and Improvement) Act, 1934, who satisfy the company that, whilst having reasonable expectation of ultimate success on an economic basis, they are not for the time being in a position to obtain financial facilities from banks or financial institutions primarily engaged in providing financial facilities for long or medium term periods :

19 & 20
Geo. 5. c. 23.

25 & 26
Geo. 5. c. 1.